

A Project Checklist

IT projects are well-known for having failure rates of more than 50 percent. We outline a checklist that, if applied prior to launch, will reduce the likelihood of unnecessarily risky projects being initiated.

Core Topics

IT Management: European Program and Project Management; Project and Process Management

Key Issue

What program and project management practices and procedures will improve project success in Europe?

Key Facts:

Leading causes of project failure include:

- Poor participation from the sponsor.
- Insufficient business and user involvement.
- Difficulty in defining work in detail.
- Poor project management.
- No clear objectives or statement of requirements.
- Continual and unregulated change.
- Inappropriate experience and competence.
- Unrealistic time frames.
- Denial of risk.

Note 1

Infrastructure Projects

An acceptable exception is an IT infrastructure project. Although this still requires a sponsor, it is acceptable for the sponsor to be part of the IS group (e.g., the CIO or office of enterprise IT).

Note 2

Performance Appraisal and Remuneration

Evidence is that sponsors are more engaged where their own compensation and performance evaluation is influenced by the project outcome.

More than 80 percent of IS-related projects are late, over budget, lacking in functionality or never delivered. Many of those at risk could be identified at the start. By using a simple checklist and either tenaciously pursuing the completion of the outstanding items, or putting in place risk mitigation steps to counter the residual risk, many of those projects would be successful.

As part of the evaluation, the project manager should provide evidence to the project office that the following issues have been satisfactorily addressed in the project's terms of reference:

Business Sponsorship: Every project should have a nominated business sponsor (see Note 1) with a stake in the outcome (see Note 2). This role must be documented, along with the nature of the involvement. The sponsor must be a signatory required for the project to gain approval, to denote his or her acceptance of the role. Should the sponsor move on, there must be a process to find a replacement and to review the future of the project.

Business Case: This is a statement of what is being done and why. It includes: the objectives, the benefits and how to measure success; the solution; the scope and limitations; a business justification and appraisal of return on investment, where appropriate; and an analysis of business risks (see Note 3).

Project Oversight: This defines the process and people (steering committee) used to oversee the project, release funds and make the "go and no-go" decisions throughout the life cycle.

Organization: Key participants from both business and IT should be named and their roles defined, along with an estimate of the amount of time and duration of their commitment. This includes the appointment of a suitably experienced project manager. There should be a defined project team and a contingency plan for key roles and skills in the event that they leave.

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Note 3

Risks

Identify all the events that may adversely impact the project. Estimate the probability and impact. Look for opportunities to reduce probability and/or impact by taking actions immediately or by putting a contingency plan in place should the event occur. Be open about the risks and share them with the project team and steering committee. Assign responsibility for key risks to a named individual, who should be the one most affected by the outcome of the risk. Create a "top 10 risks" list to keep the team's focus on them, and continually update it.

Note 4

Project Management Methods

These should cover project initiation, planning, execution and close down. The project management methodology should not be confused with a systems development method, which covers only the execution phase. Methods cannot compensate for poor judgment and bad decisions, but they do prevent process and communication mistakes (see *Research Note TU-07-7100*).

Note 5

Kill Projects Early and Often

Many enterprises will keep running a failing project, sometimes because they do not know it is failing, but usually because there is no mechanism or will to kill it. Spotting the early signs of failure will help get most projects back on track, but projects afflicted with continual failure should be killed early and often (see *Research Note SPA-03-1250*).

It is worthwhile specifying what should be reviewed at the milestone checkpoints. This should include a list of risks that would indicate the project was heading toward failure (e.g., loss of sponsor, loss of key staff members or technology change).

Note 6

Change Control

Recognize that change is inevitable and important. Define a change control process that includes a process to prioritize requests. Define the roles and responsibilities of all those involved in change control. Create an audit trail. Perform risk and impact analysis for each change. Bundle changes together to form releases.

Note 7

Related Research

- Well-Rounded Project Management: The 3 C's (*Research Note SPA-08-0653*)
- AD Project Risk: Get a Grip (*Research Note SPA-04-8384*)

Project Plan: There must be a detailed project plan built around a formal methodology (see Note 4). The plan should cover at least the first phase, with outline plans for subsequent phases.

Risk Assessment: Risk management should be an integral part of the project and project planning. Emphasis should be placed on risks associated with project size (time and resources), business requirements, capabilities (skills) and technologies.

Checkpoints: There should be an end-of-project checkpoint and regular checkpoints throughout to ensure the business case still exists and to review the progress and risks (see Note 5).

Requirements: There should be a concise vision and specification of requirements and deliverables, with defined change and risk assessment processes for dealing with the inevitable changes (see Note 6).

Size: The project should have short phases, each capable of delivering benefit. Any project that is not structured into phases capable of delivering benefits in chunks of less than six months' duration increases its risk of failure due to fast-moving requirements, technology and people.

Communications: There must be a clear plan for communicating project objectives and tasks (see Note 7).

Capabilities: Based on the resource requirements laid out in the project plan, has a capability gap analysis been completed? Has sourcing of missing skills and experience been resolved and training identified? Do the key people have sufficient gravitas for the project? Have the "hot" skill requirements been identified and a plan been put in place to ensure their availability and retention?

Compliance: There must be approval from the office of architecture that the project complies appropriately.

Motivation: Are all those contributing to the project suitably motivated and being measured and rewarded appropriately for its success?

Assessment: Has an independent verification and assessment of the project plan, costs and timings been completed by someone in the project or audit office or by another third party?

Any project unable to check off all these items exposes itself to greater risk of failure.

Bottom Line: By adding this checklist to the approval process, many projects that would otherwise be destined to failure, or at least several restarts, can be saved or killed before even starting. We recommend the project office or project review committee institutionalize these processes for all project assessments.

